

Monthly Financial Report - March 2025

Prepared for Internal Management Review

EXECUTIVE SUMMARY

For the month ended March 31, 2025, Netflix generated a total subscription revenue of \$4.2M, offset by operating expenses of \$2.49M, resulting in an operating profit of \$1.71M. Profitability for the period was supported by the scalable nature of the subscription revenue model, while operating expenses were primarily driven by content licensing costs, alongside investment in technology infrastructure. Despite the capital-intensive cost structure usually inherent to streaming businesses, Netflix maintained a solid liquidity position, with total assets of \$3.48M and current assets exceeding current liabilities, providing sufficient flexibility to meet short-term obligations.

INCOME STATEMENT HIGHLIGHTS

Subscription revenue totaled \$4.2M for the month, reflecting stable recurring customer demand. No material revenue volatility was observed during the period.

Total operating expenses were \$2.49M, with content licensing costs representing the largest expense category at approximately 31% of revenue. Payroll and marketing expenses remained controlled, accounting for roughly 10% and 8% of revenue, respectively.

BALANCE SHEET & LIQUIDITY

As of March 31, 2025, total assets amounted to \$3.48M, primarily consisting of cash and accounts receivable. Total liabilities were \$1.77M, driven mainly by accounts payable and accrued expenses. The company's liquidity position remains adequate, with current assets exceeding current liabilities.

KEY RATIOS & INSIGHTS

Gross margin for the period was approximately 74%, reflecting the scalability of the subscription-based revenue model. Operating margin reflects strong contribution from subscription revenue, with content licensing remaining the primary cost driver.